Tired of unpredictable ChatGPT bills or worried about your data privacy?
In today's module, we are supercharging n8n with Ollama. We'll host Llama 3 directly on your own hardware

No API keys, No monthly bills, & Zero data leaks.

🧠 What is Ollama?

- Ollama is a tool that lets you run Large Language Models (LLMs) locally on your machine
- It allows you to use models like Llama, Mistral, Gemma, and others
- Runs AI without needing cloud APIs
- Works directly from your local system using simple commands
- Designed to make local AI development easy

⚡ Why We Use Ollama

- Run AI locally and privately
- No API cost or token usage
- Useful for offline AI applications
- Faster response for local workflows
- Great for AI development and testing
- Full control over models and data

🔀 When to Use Ollama vs Cloud LLMs

🖥️ Use Ollama When:

- You want local AI models
- You need data privacy
- Your system must work offline
- You want to avoid API costs
- You're building local AI automation

☁️ Use ChatGPT / Gemini When:

- You need most powerful models
- You want latest AI capabilities
- Your task requires very high accuracy
- You don’t have strong hardware
- You want instant setup without installation

🧩 Key Things Beginners Must Know About Ollama

- Ollama is a model runner, not the model itself
- You still need to download AI models (like Llama or Mistral)
- Models run inside your local machine memory (RAM/GPU)
- Performance depends on your hardware

🧠 Ollama in AI Automation

- Ollama can power local AI agents
- Can integrate with tools like n8n
- Enables private AI workflows
- Useful for RAG systems with private documents
- Ideal for self-hosted AI automation setups

⚠️ Limitations of Ollama

- Needs good hardware for large models
- Local models can be less powerful than GPT-4 level models
- Requires installation and setup
- Large models consume RAM and disk space

🚀 Why Ollama is Important for AI Engineers

- Enables self-hosted AI infrastructure
- Helps build private AI systems
- Useful for enterprise AI solutions
- Critical skill for AI automation engineers